

MODULE 3, CHAPTER 3: THE RULES OF THE ROAD (PRINCIPLES & EXCLUSIONS)

The 6 Fundamental Principles

- **Insurable Interest:** You must bear a legal relationship to the vehicle, standing to benefit from its safety or suffer financial prejudice from its loss [cite: 11].
- **Utmost Good Faith:** Requires full disclosure of all material facts (like the vehicle's usage) that would affect the underwriter's decision to accept the risk [cite: 11].
- **Proximate Cause:** The insurer is only liable if the damage was caused by the active, efficient cause that set the chain of events in motion [cite: 11].
- **Indemnity:** The payout is meant to place the insured in the exact same financial position occupied right before the loss occurred [cite: 11].
- **Contribution:** If multiple insurance policies cover the same vehicle, the companies share the claim and pay only their ratable proportion [cite: 11].
- **Subrogation:** When the insurer pays a claim, the legal right to recover money from a liable third party is immediately passed on to the insurer to prevent double compensation [cite: 11].

General Exceptions (Hard Boundaries)

- **Geographic Limits:** Accidents or liabilities incurred entirely outside the Philippines are not covered [cite: 11].
- **Limitations as to Use:** The policy does not cover using the vehicle for racing, speed testing, or hauling highly inflammable materials [cite: 11].
- **Acts of Nature:** Standard policies exclude damage caused by floods, typhoons, earthquakes, or volcanic eruptions (unless specifically added as an extension) [cite: 11].

Policy Conditions

- **Cancellation:** Both the insurer and the insured have the right to cancel the policy. If the insured initiates it, a Short Period Rate Scale penalty applies to compensate for administrative expenses [cite: 11].
- **Arbitration:** If there is a dispute regarding the claim amount, arbitration is a strict condition precedent before any lawsuit can be filed [cite: 11].

Key Takeaway: A standard motor policy will absolutely not cover you if you take the car outside the Philippines, use it in a street race, or if it gets flooded during a typhoon (unless you paid extra for an Acts of Nature extension)!